

Managing Risk

There is always risk and reward when investing. You can take your money, put it in an FDIC-insured bank account, and be guaranteed you'll never lose a penny. Of course, this also guarantees your money will not grow and work for you. The price of everything—a loaf of bread, a car, college tuition—increases over time as a result of inflation. If your money isn't at least matching inflation, it's losing value. This requires you to take some risk to grow your investments.

At the same time, you don't want to risk more than necessary to accomplish your financial goals. When people talk about risk with paper investments, they're typically talking about volatility. Volatility is not the same as risk. Volatility can be used to your advantage when you are accumulating wealth that enables FI. It allows you to buy more shares at reduced prices. But volatility can introduce real risk.

The first real risk is when a person overestimates their ability to control their behavior during periods of volatility. When markets drop, it can be gut-wrenching to see your wealth cut by 10 percent, 20 percent, even 50 percent or more. Worse yet, you never know when you're at the bottom and how much lower it can go. Remember, you